

Graham and Dodd's thinking. Our concerns are with industry, company standing within the industry, quality of management, interest coverage, capital structure, alternative sources of liquidity, liquidation value, and covenants. *Security Analysis* reflects many of these same concerns.

On company standing: "The experience of the past decade indicates that dominant or at least substantial size affords an element of protection against the hazards of instability." (Chap. 7)

On interest coverage: "The present-day investor is accustomed to regard the ratio of earnings to interest charges as the most important specific test of safety." (Chap. 9)

On capital structure: "The biggest company may be the weakest if its bonded debt is disproportionately large." (Chap. 7)

5. *"Buy-and-hold" investing is inconsistent with the responsibilities of the professional investor, and the creditworthiness of every issuer represented in the portfolio must be revisited no less than quarterly.*

Even before the market collapse of 1929, the danger ensuing from neglect of investments previously made, and the need for periodic scrutiny or supervision of all holdings, had been recognized as a new canon in Wall Street. This principle, directly opposed to the former practice, is frequently summed up in the dictum, "There are no permanent investments." (Chap. 21)

6. *Don't engage in market timing based on economic and interest rate forecasts.* Instead, we confine our efforts to "knowing the knowable," which can result only from superior efforts to understand industries, companies, and securities.

It is doubtful if trading in bonds, to catch the market swings, can be carried on successfully by the investor. . . . We are sceptical of the ability of any paid agency to provide reliable forecasts of the market action of either bonds or stocks. Furthermore we are convinced that